

HOUSE BILL No. 1397

DIGEST OF INTRODUCED BILL

Citations Affected: IC 5-28-6-9; IC 6-3.1-34-24.

Synopsis: Redevelopment tax credits. Provides that \$50,000,000 of the \$300,000,000 of the Indiana economic development corporation's annual certifiable tax credit amount must be allocated to the small town opportunity initiative (initiative). Establishes the initiative. Provides that the purpose of the initiative is to undertake qualified community projects within local government units that have a project budget of at least \$15,000,000 per project to do the following: (1) Advance historic preservation. (2) Redevelop or rehabilitate distressed buildings or underutilized property. (3) Redevelop or rehabilitate sites where distressed buildings once stood. Allows a redevelopment tax credit for: (1) a for-profit taxpayer undertaking a qualified community project under the initiative equal to 20% of the taxpayer's cost of the project; and (2) a nonprofit taxpayer undertaking a qualified community project under the initiative equal to 30% of the taxpayer's cost of the project. Provides that initiative projects are not subject to any statutory or administrative repayment obligation. Provides for certain items that are included in a nonprofit taxpayer's qualified investment.

Effective: July 1, 2026.

Lopez

January 8, 2026, read first time and referred to Committee on Ways and Means.



Second Regular Session of the 124th General Assembly (2026)

PRINTING CODE. Amendments: Whenever an existing statute (or a section of the Indiana Constitution) is being amended, the text of the existing provision will appear in this style type, additions will appear in **this style type**, and deletions will appear in ~~this style type~~.

Additions: Whenever a new statutory provision is being enacted (or a new constitutional provision adopted), the text of the new provision will appear in **this style type**. Also, the word **NEW** will appear in that style type in the introductory clause of each SECTION that adds a new provision to the Indiana Code or the Indiana Constitution.

Conflict reconciliation: Text in a statute in *this style type* or ~~this style type~~ reconciles conflicts between statutes enacted by the 2025 Regular Session of the General Assembly.

HOUSE BILL No. 1397

A BILL FOR AN ACT to amend the Indiana Code concerning taxation.

Be it enacted by the General Assembly of the State of Indiana:

- 1 SECTION 1. IC 5-28-6-9, AS AMENDED BY P.L.213-2025,
2 SECTION 69, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE
3 JULY 1, 2026]: Sec. 9. (a) Subject to subsection (c), the aggregate
4 amount of applicable tax credits that the corporation may certify:
5 (1) for each state fiscal year ending on or before June 30, 2025,
6 for all taxpayers is two hundred fifty million dollars
7 (\$250,000,000); and
8 (2) for each state fiscal year ending on or after July 1, 2025, for all
9 taxpayers is three hundred million dollars (\$300,000,000), **fifty**
10 **million dollars (\$50,000,000) of which must be allocated to**
11 **fund qualified community projects within local government**
12 **units under IC 6-3.1-34-24.** Each certification under this
13 subdivision is subject to budget committee review.
14 (b) For purposes of determining the amount of applicable tax credits
15 that have been certified for a state fiscal year, the following apply:
16 (1) An applicable tax credit is considered awarded in the state
17 fiscal year in which the taxpayer can first claim the credit,



determined without regard to any carryforward period or carryback period.

(2) An applicable tax credit awarded by the corporation before July 1, 2022, shall be counted toward the aggregate credit limitation under this section.

(3) If an accelerated credit is awarded under IC 6-3.1-26-15, the amount counted toward the aggregate credit limitation under this section for a state fiscal year shall be the amount of the credit for the taxable year described in subdivision (1) prior to any discount.

(c) Notwithstanding subsection (a), if the corporation determines that:

(1) an applicable tax credit should be certified in a state fiscal year; and

(2) certification of the applicable tax credit will result in an aggregate amount of applicable tax credits certified for that state fiscal year that exceeds the maximum amount provided in subsection (a);

the corporation may, after review by the budget committee, certify the applicable tax credit to the taxpayer.

(d) This section expires December 31, 2032.

SECTION 2. IC 6-3.1-34-24 IS ADDED TO THE INDIANA CODE AS A NEW SECTION TO READ AS FOLLOWS [EFFECTIVE JULY 1, 2026]: **Sec. 24. (a) As used in this section, "downtown area" means:**

(1) the central business district of a city or town; or

(2) any commercial or mixed use area within a neighborhood of a city or town that has traditionally served, since the founding of the community, as the retail service and communal focal point within the community.

(b) As used in this section, "initiative" means the small town opportunity initiative established by subsection (f).

(c) As used in this section, "nonprofit taxpayer" means a taxpayer:

(1) that is tax exempt under Section 501 of the Internal Revenue Code;

(2) for which some or all of its mission is to revitalize the community it serves; and

(3) whose leadership includes primarily members of the community it serves.

(d) As used in this section, "qualified community project" means a project that:

(1) is located in the:



- 1 (A) downtown area of a city or a town with a population of
- 2 less than thirty thousand (30,000);
- 3 (B) downtown area of a city or a town that is located in a
- 4 county with a population of less than seventy-five thousand
- 5 (75,000); or
- 6 (C) unincorporated territory of a county with a population
- 7 of less than seventy-five thousand (75,000) if the site of the
- 8 project is an area of the unincorporated territory that
- 9 serves as the retail service and communal focal point
- 10 within the unincorporated territory;
- 11 (2) involves the:
- 12 (A) historic preservation;
- 13 (B) redevelopment; or
- 14 (C) rehabilitation;
- 15 of real property; and
- 16 (3) has a total project budget of at least fifteen million dollars
- 17 (\$15,000,000).
- 18 (e) As used in this section, "qualified investment" means the
- 19 amount of the taxpayer's expenditures that are:
- 20 (1) for the redevelopment or rehabilitation of real property as
- 21 part of a qualified community project; and
- 22 (2) approved by the corporation before the expenditure is
- 23 made.
- 24 (f) The small town opportunity initiative is established.
- 25 (g) The corporation shall administer the initiative.
- 26 (h) The purpose of the initiative is to undertake qualified
- 27 community projects within local government units to do the
- 28 following:
- 29 (1) Advance historic preservation.
- 30 (2) Redevelop or rehabilitate distressed buildings or
- 31 underutilized property.
- 32 (3) Redevelop or rehabilitate sites where distressed buildings
- 33 once stood.
- 34 (i) A for-profit taxpayer undertaking a qualified community
- 35 project under the initiative is entitled to a redevelopment tax credit
- 36 under this chapter equal to twenty percent (20%) of the taxpayer's
- 37 cost of the project.
- 38 (j) A nonprofit taxpayer undertaking a qualified community
- 39 project under the initiative is entitled to a redevelopment tax credit
- 40 under this chapter equal to thirty percent (30%) of the taxpayer's
- 41 cost of the project.
- 42 (k) Qualified community projects undertaken under this section



1 are not subject to any statutory or administrative repayment
2 obligation.

3 (l) Notwithstanding any other provision of this section, for a
4 nonprofit taxpayer undertaking a qualified community project
5 under this section, expenditures incurred to acquire, hold, or
6 prepare real property for redevelopment or rehabilitation before
7 the date the taxpayer's initial application or application for
8 certification is approved by the corporation shall be included in the
9 taxpayer's qualified investment if:

10 (1) the expenditures were incurred for the primary purpose
11 of future redevelopment consistent with subsection (h);

12 (2) the nonprofit taxpayer obtained site control in furtherance
13 of a locally supported redevelopment effort; and

14 (3) the corporation determines, as part of the application or
15 certification process, that inclusion of such expenditures is in
16 the public interest and supportive of early stage community
17 redevelopment efforts.

18 (m) For purposes of determining whether an expenditure is
19 included as part of a qualified investment under subsection (l), an
20 expenditure shall be treated as if it were approved by the
21 corporation as of the date the expenditure was originally incurred.

